

among outstanding corporations, that the opportunity for growth is so great that the management cannot afford to pay some part of earnings and still—through retaining the rest and through senior financing—obtain adequate cash to take advantage of worthwhile growth opportunities. Each investor must decide in relation to his own needs how much, if any, money to put into corporations with such abnormal growth factors that no dividends whatsoever are justified. What is most important, however, is that stocks are not bought in companies where the dividend pay-out is so emphasized that it restricts realizable growth.

This brings us to what is probably the most important but least discussed aspect of dividends. This is regularity or dependability. The wise investor will plan his affairs. He will look ahead to what he can or cannot do with his income. He may not care about immediately increasing income but he will want assurance against the decreased income and unexpected disruption of his plans that this can cause. Furthermore, he will want to make his own decisions between companies which should plough back a great part or all of their earnings and those that may grow at a good but slower rate and need to plough back a smaller proportion.

For these reasons, those who set wise policies on stockholder relations and those who enjoy the high price-earnings ratios for their shares, which such policies help bring about, usually avoid the muddled thinking that typifies so many corporate treasurers and financial vice presidents. They set a dividend policy and will not change it. They will let stockholders know what this policy is. They may substantially change the dividend but seldom the policy.

This policy will be based on the percentage of earnings that should be retained in the business for maximum growth. For younger and rapidly growing companies, it may be that no dividends at all will be paid for so many years. Then when assets have been brought to the point where the depreciation flow-back is greater, from 25 to 40 per cent of profits will be paid out to stockholders. For older companies this pay-out ratio will vary from company to company. However, in no case will the rough percentages govern the exact amount paid out; this would make each year's dividend different from that of the year before. This is just what stockholders do not want, since it makes impossible independent long-range planning on their part. What they desire is a set amount approximating these percentages and